Managed US-China stability will hold despite Democrats pushing tougher China legislation

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Managed US-China stability will hold for the rest of President Donald Trump’s term despite his midterm defeat; a Democratic Congress will push tougher||||||||||||||||

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summary

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Managed US-China stability will hold for the rest of President Donald Trump’s term despite his midterm defeat; a Democratic Congress will push tougher China legislation, but Trump’s veto power will likely constrain measures that threaten bilateral stability.
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Corporate deals in exchange for tariff relief will likely continue for the remainder of Trump’s term, even as a Democratic-controlled Congress scrutinizes the practice more closely.
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US-mediated Russia-Ukraine talks will likely resume before year-end, but Russian President Vladimir Putin is in no hurry and fundamental gaps between the parties remain.
*
The dovish majority on the board of Mexico’s central bank will prioritize countering domestic economic weakness despite persistent inflation risks.
*
Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, Egypt, Ethiopia, Mexico, Nigeria, Russia, Sudan, Ukraine, geoeconomics, geo-technology, and trade.

the top line

China, US—Managed stability will hold after midterms

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Trump’s weakened political standing after the midterm defeat and a newly empowered Democratic Congress will raise the near-term risk of bilateral friction but not derail managed stability for the rest of Trump’s term in office.
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A Democratic Congress will push tougher China legislation, and the latest Nvidia scandal will reinforce this post-midterm momentum by weakening the company’s singular ability to slow the progress of

export control bills.

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However, Trump's veto power and executive discretion will likely constrain measures that threaten broader bilateral stability. Beijing will prioritize stability over exploiting Trump's weakened position, responding proportionately to US restrictions, while mutual vulnerabilities will deter severe escalation.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

US, Trade—Corporate deals will remain a feature of Trump tariffs

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With the Trump administration using tariffs as a source of leverage over global companies as well as governments, corporate bargaining for exemptions has become a structural feature of the administration's trade policy.

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Although a Democratic-controlled Congress will scrutinize this practice more closely, a framework of corporate agreements in exchange for tariff relief will likely continue for the remainder of Trump's term.

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Company deals can now deliver greater tariff relief than country deals. Provisions in recent drone and pharmaceutical tariffs allow qualifying companies to reduce duties on affected imports from 100% to zero.

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The breadth of pharma tariff exemptions materially reduces their impact: the administration has announced deals with 26 firms, exempting 89% of US-branded pharma imports.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Geoeconomics, US, Trade—Pharma tariffs only modestly lift the US effective tariff rate

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Pharma tariffs lift the overall US average effective tariff rate by only 0.2 percentage points (ppts) to 10.9%. Tariff exposure falls mainly on branded or innovative products imported by companies with neither most-favored-nation nor qualifying onshoring commitments, mostly small- to mid-size biotech firms.

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Our updated estimates incorporate a revised methodology for data center-related exemptions and adjustments based on actual duties, lowering our current estimate by 0.6ppts.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Russia, Ukraine, US—Talks will likely resume before year-end

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Two days of US-mediated Russia-Ukraine talks in Abu Dhabi ended on 11 November with an agreement on a prisoner-of-war exchange but no movement on core issues. Still, the process will likely resume before year-end, as neither side wants to alienate Washington.

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Putin is in no hurry. He still aims to subdue Ukraine and sees no reason to rush to a deal while US pressure on Moscow is almost non-existent. Fundamental gaps remain on territory, ceasefire sequencing, and other issues. US envoy Jared Kushner and US special envoy Steve Witkoff will brief Putin in Moscow on 12 November.

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EG continues to believe both sides will continue to escalate their military campaigns through the end of the first quarter of next year, after which the odds of a ceasefire will increase to 35% from 10% at present.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Mexico—Banxico's politically aligned board will prioritize growth over orthodoxy

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Appointments by the ruling Morena party have gradually established a dovish majority on the central bank's (Banxico's) board, which will prioritize countering domestic economic weakness despite external volatility and persistent inflation risks.

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Deputy Governor Jonathan Heath's departure at the end of this year will reinforce this orientation and reduce internal dissent, while perceptions of political proximity to President Claudia Sheinbaum's administration will weigh on the bank's reputation without directly undermining its autonomy.

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The main risk is not direct political interference but that the growth-oriented majority underestimates persistent inflation or external shocks, undermining market confidence in its judgment even as institutional independence remains intact.

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Should inflation ease, the peso remain stable, and economic activity stay weak, the dovish majority could favor another 25-basis-point cut to 6.00% in early 2027.

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Read more here and register here for our conference call today at 11:00 AM ET. Reach out to discuss: mexico@eurasiagroup.net .

Geo-technology—The cyber risk of AI arrives as a thousand cuts

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Criminals and hacktivists gain the most from AI's offensive cyber capabilities, while states remain constrained by geopolitics, making a single catastrophic attack unlikely. AI's main effect is speed and scale: It can find existing vulnerabilities faster than most defenders can fix them.

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Security spending is rising but concentrating in well-funded firms, leaving resource-constrained organizations exposed.

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Many smaller attacks, or one that spreads through shared infrastructure, could have systemic consequences, but the diffuse threat will slow any policy response.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

upcoming conference calls

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12 November 11:00 AM ET—Mexico update. Register here .
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16 November 11:45 AM ET—Brazil update. Register here .
*
17 November 10:00 AM ET—Cameroon: Navigating political and economic crossroads. Register here .
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19 November 9:30 AM ET—Brazil update: A conversation on the tax reform with Bernard Appy. Register here .

eg in brief

US—Congress will likely punt funding into the new year: A short-term continuing resolution (CR) keeping government funding flat into the early months of the next Congress is the most likely outcome from the 11 December funding deadline (70% odds). A shutdown at the deadline is possible, but would not endure long enough to have market-disrupting impacts. Democrats have greater incentives to agree to a CR than to force a shutdown, as a CR punt will allow Democrats to negotiate from a stronger position. A full-year freeze of discretionary spending, which would also hold defense spending flat, would save at most 0.25% of GDP compared with spending that grows with the economy. Over a decade, that growth would add $2.9 trillion to deficits compared with the Congressional Budget Office's baseline (see chart). Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Brazil—First fiscal measures will likely pass quickly: On 11 November, the Luiz Inacio Lula da Silva administration introduced in the Senate the first measure of its fiscal adjustment package, a complementary bill that seeks to save 50–60 billion reais in 2027. The bill is set for fast approval, and the administration aims for approval by early December. The measures represent a somewhat stronger fiscal effort for 2027 than previously suggested, but fall short of the goal of a primary surplus of 1.5% of GDP by 2030. Odds of a constitutional amendment on fiscal policy remain at 65%, but it could be delayed. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Brazil—VAT reform launch will likely hold despite pressure for postponement: The administration will likely begin collecting the Contribution on Goods and Services on 1 January 2027 as scheduled, and Finance Minister Dario Durigan has publicly ruled out a delay. Still, pressure for a postponement has been mounting, and the economic team has not ruled it out entirely. Keeping the schedule would preserve the overhaul's momentum but raise the risk of technical problems, tax disputes and inflation in 2027, while a delay could increase political costs and prolong uncertainty. The transition to the new VAT system could increase inflation: the initial shock, which market participants estimate at 0.3-0.7ppts of the IPCA benchmark inflation rate, will fade through 2027. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Egypt, Sudan, Ethiopia—Alleged Ethiopian escalation will deepen Cairo's involvement in Sudan: Alleged Ethiopian involvement will likely draw Egypt deeper into Sudan's civil war to bolster the Sudanese Armed Forces (SAF) against the Rapid Support Forces. Cairo will likely focus on supplying arms,

deploying air defense assets, and providing limited air support. Supporting the SAF would not involve deploying troops to Sudan, as Egypt wants to avoid casualties and the risk of a broader war. Mutual economic interests will preserve Cairo's ties with Abu Dhabi even though the two back opposing sides in Sudan. Cairo will continue to step up its military presence in the Horn of Africa to pressure Ethiopia as bilateral tensions mount, but it is unlikely to directly attack Ethiopian territories or the Grand Ethiopian Renaissance Dam. Read more here . Reach out to discuss: mena@eurasiagroup.net .

Nigeria—Atiku will likely remain on the 2027 ballot despite legal challenge: On 5 November, a Federal High Court in Abuja dismissed the leadership of the opposition African Democratic Congress (ADC), voiding the party's presidential primaries, which led to the nomination of Atiku Abubakar, President Bola Tinubu's main challenger. The ADC has appealed the ruling. With less than ten weeks until the election, the appeals process will probably continue beyond polling day, likely allowing Atiku, who is already on the electoral commission's final candidate list, to remain on the ballot. The administration will probably lobby to delay a final judgment until after the poll, keeping the opposition vote divided. Tinubu's reelection odds remain at 75%. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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12 November: Events: Data: Argentina CPI; Central bank decisions: Peru and Romania.
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13 November: Data: Eurozone GDP, France, Poland, Russia, and Spain CPI, and US PPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"What's important is that the Americans flew to Putin with specifics."—Ukrainian President Volodymyr Zelensky said in Dublin on 12 November, ahead of Kushner and Witkoff's arrival in Moscow.

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